

Nature and Significance of Management

MANAGEMENT

- Management is an art of getting things done.

÷ Characteristics of Features of

Goal oriented Process

Management

The main aim is to achieve

Plans are made to achieve that goal effectively and efficiently.

Poonam Gandhi ÷

- Management is a process of getting things done with the aim of achieving goals effectively and efficiently.



Continuous Process

It is a continuous or never ending process. All the functions of Management are performed continuously. Once the objective is complete then they plan to achieve another goal.

Group activity

Management always refers to a group of people. Group effort is required to achieve the goal. It replaces 'I' with 'we'. All the functions of Management cannot be performed by an individual only.

Intangible

Management cannot be seen but its presence can be felt.

It is more easy to feel the presence of Mis-Management as it leads to chaos and confusion.

Dynamic Functions

Management has to make changes in their internal environment as per external environment. Such as social, economical, legal, political & Technological environment has great impact on our business.

Pervasive

Management is an universal phenomenon. Management is essential for all types of organisation. A big or small, profit or non-profit making, manufacturing or service, school or hospital, playground or house, everywhere it requires.

Multi dimensional

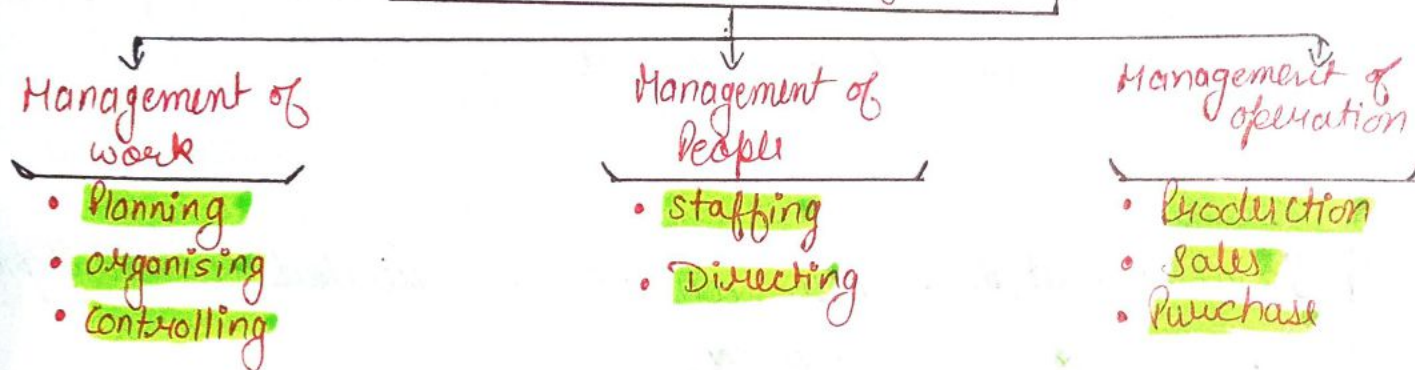
÷ There are three main dimensions of management are ÷

(i) **Management of work** - Management must focus on their work only. Work depends upon the nature of business. Work of school to provide education, and a hospital is to treat people. So, school management must focus on providing quality education not to treat patient.

(ii) **Management of people** → People refers to human resources. They are most important assets of an organisation. Management must take care of individual employees' need and group needs also. The goal of an organisation can be achieved only with the support of human resources.

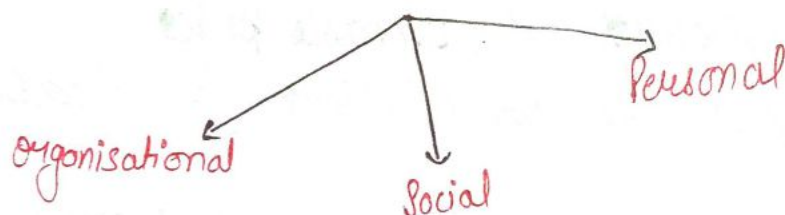
(iii) **Management of operation** → It refers to all the activities of operating cycle. It mixes management of work with management of people. It includes buying of input, converting them into semi-finished goods, finished goods, maintain inventory etc.

Dimensions of Management



* Objectives of Management

- objectives are the end results of an activity



Organisational objectives - These objectives are related to growth and development of organisational. All the managers try to reduce the cost and bring maximum profit in the organisation.

∴ They are ∴

1.1 → **Survival** = It is the basic objective of every organisation. that they want to stay in this competitive market for a long period of time by satisfying consumers.

1.2 **Profit** = Only survival is not sufficient, organisation also wants to run business smoothly. generating profits helps businessmen to take risk. Profit are also essential for survival, growth and expansion.

1.3 - **Growth** = Growth means expand their business activities. The success of a business is also determined by growth and development of business.

2] **Social objectives** - These activities are related to the development of human and society.

As a part of society a businessman must do the following for society ÷

- (i) Supply of Quality products at reasonable price
- (ii) Generation of employment opportunities for weaker section of the society.
- (iii) Using environmental friendly methods of production
- (iv) Participating in social activities
- (v) Ethical code of conduct.

3] **Personal objectives** - As we all know that employees are the most important assets of an organisation. So, taking care of employees is an objective.

and satisfied and motivated employees will contribute maximum for organisation

÷ These are follows ÷

- (i) Competitive salary to fulfill financial needs of the employees
- (ii) Growth and development of workers.
- (iii) Respect and recognition
- (iv) Healthy working conditions.

Importance of Management

- Successful organisations do not achieve their goals by chance but by following a deliberate process called management.

A businessman reaches to the top because of its quality of management.

∴ These are the following importance of Management:

(i) Helps in Achieving organisational goal:

- The main aim of management is to achieve the organisational goal with the help of its functions management tries to achieve its goal efficiently and effectively.

Achieving organisational goal

Achieving personal and group goal

Creates a dynamic organisation

Increases coordination

Development of society

(ii) Helps in Achieving personal and group goal:

(एकित, combine)

- Managers integrate individual efforts into group efforts. With the help of personal objectives management, each individual get competitive salary, respect and career advancement opportunity.

(iii) Management creates a dynamic organisation:

- Managers are tries to make change in internal environment as per external environment. They motivate employees, provide them training so, that they can adopt changes in the environment.

(iv) Increases Co-ordination - Management ensures that different department and groups work in Co-ordination. Therefore, there is a unity of action among employees groups and departments.

(v) Management helps in development of society +

- Through its social objectives management develops the society by providing quality products at reasonable prices and environment friendly products helps to protect the environment.

Nature of Management

1) Management as a science

- Science can be defined as a systematic body of knowledge based on fact and findings.

[Cause and effect relationship]

∴ Main features of science are as follows:-

(i) Systematic Body knowledge → In science systematic study material is available which is used to acquire the knowledge of science. The same feature is present in management.

(ii) Based on repeated experiments → Scientific principles are developed by doing multiple experiments. Management principles are also observed multiple times and human behaviour is predicted. So, this feature is present in management.

(iii) Universal validity → Scientific principles have universal validity. It means once the principle is developed, it is applicable forever. But management principles are not universal it depends upon the situation, types of people etc. So, this feature of science is not present in management.

2] Management as an Art

- Art can be defined as systematic body of knowledge which requires creativity and practice to get perfection.

÷ Main features of Art are as follows ÷

(i) Systematic body of knowledge → In Arts systematic study material is available to acquire theoretical knowledge. This feature is present in management.

(ii) Personalised application → In arts only theoretical knowledge is not enough. Every artist must have personal skills and creativity to apply that knowledge. In some manner management requires personalised application of management principles on different situations and on different kinds of people. So, this feature is also present in management.

(iii) Based on practice and creativity → An artist has to do regular practice to become perfect. as we all know art is only interesting

when it make some creativity & similarly in management it requires practice and creativity so, this feature of art present in management

3] Management as a profession

- Profession can be defined as an occupation backed by specialised knowledge and training in which entry is restricted.

÷ Main features of profession are as follows ÷

(i) Systematic body of knowledge → In profession study material is available to acquire specialised knowledge. This feature of profession is also present in management.

(ii) Restricted entry → Without a professional degree no one can enter into profession.

Eg → a person can practice CA only when he is having CA qualified degree.

But in management anyone can be a manager having proper management skills. So, this feature is not present in management.

(iii) Service motive → Every professional motive is to serve their client. Profit is not to be primary objective but in case of management, this feature is not present.

(iv) Presence of professional association → Every professional has to get registered with his association before practising that profession.

Eg. For doctors Medical Council of India, For lawyers Bar Council of India, for CA ICAI etc. ... But this feature is not present in management.

Note: An organisation must balance btw effectiveness & efficiency

Imp. * Difference btw Effectiveness and Efficiency

Basis	Effectiveness	Efficiency.
Meaning.	It refers to completion of task on time.	It refers to completion of task with minimum cost.
orientation or objective	Time oriented	Cost oriented
Main consideration	achieve end result Doing the right task	reducing the cost doing the task in right way.

Levels of Management

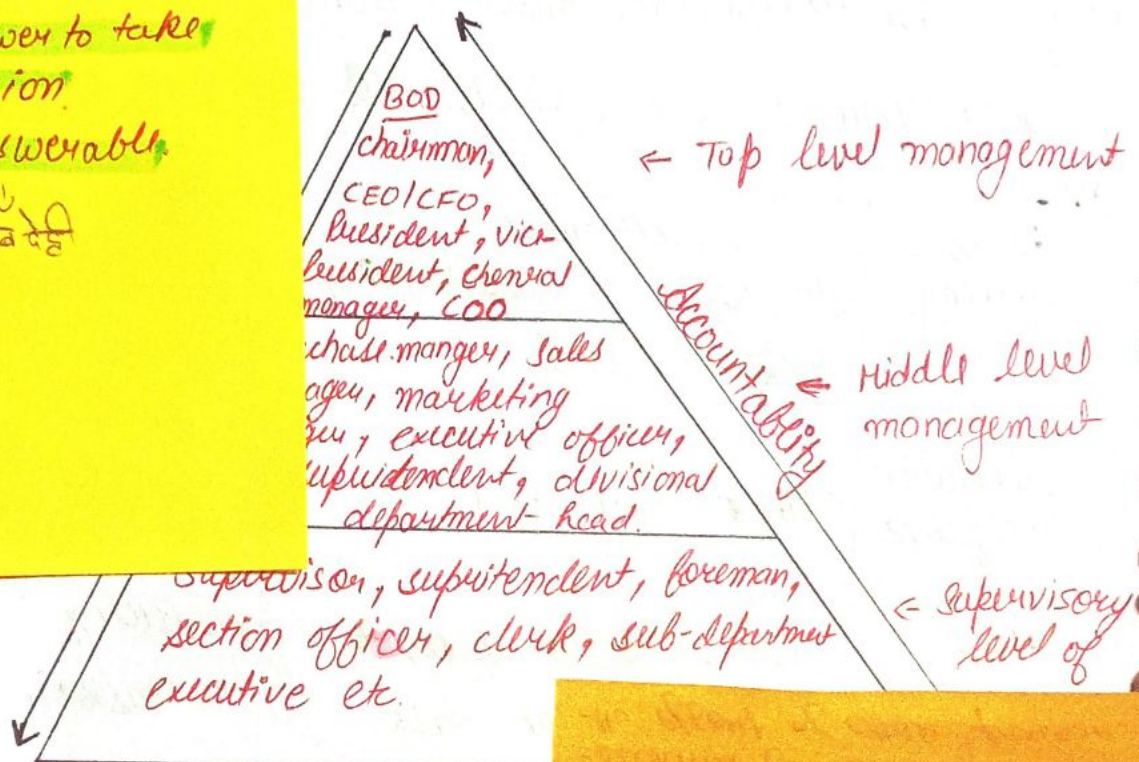
Three level of Management

- 1) Top level
- 2) Middle level
- 3) Supervisory (or) lower (or) operational level

• Authority → power to take decision

• Authority → Answerable

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Top level of Management

÷ Main functions of top level management

- (i) They decide the objectives of the organisations.
- (ii) They formulate plans and policies.
- (iii) They arrange all the resources such as raw material, finance and fixed assets.
- (iv) They are responsible for welfare and survival of the organisation.
- (v) They connect with government officials and outside the world.
- (vi) They organise activities to be performed by person of working at middle level.

[2] Middle level Management

÷ Main functions of middle level of management are :

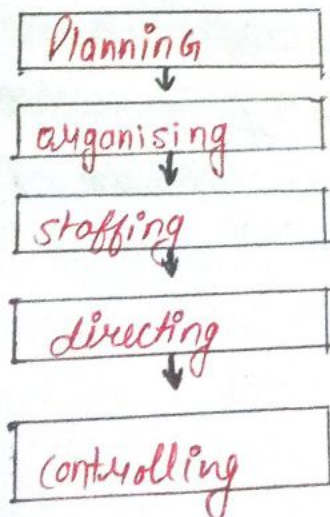
- (i) transfer plan and policies framed by top level management to lower level management.
- (ii) They involve in recruitment of employees
- (iii) Motivating employees to perform their best ability.
- (iv) They cooperate with other department for smooth functioning of the organisation.

[3] Lower level of Management

÷ Main functions of lower level of management are :

- (i) Representing the problems or grievance of workers before the middle level of management.
- (ii) Maintaining good and healthy working conditions for workers.
- (iii) Helps to middle level of management to recruitment process.
- (iv) They are responsible for boosting morale of employees.
- (v) Lower level of management interact with the actual work force and pass on instruction of middle level of management.

Functions of Management.



- (i) Planning → It is the primary functions of Management performed by manager.
- It refers to thinking in advance what to do, how to do, when to do and who is going to do it. Plans are made to achieve its organisational goal.

(ii) Organising → Once plan is made, pre-determined course of action is decided then managers move to arrange the men and material, setting up organisational structure, distribution of authority and responsibility to achieve the organisational goal. In organising departments are made to categorise the employees.

(iii) Staffing → In third step Recruitment is done by managers and selecting the most suitable candidate to perform the work. Here manager decide the source of recruitment, trained people and taking care of them.

(iv) Directing → It refers to telling people what to do and how to do. It initiate action. In this function instruction are given to employees, supervising the activities of employees, motivating them & communicating them. Leadership also include in this function. Leadership influence the best behaviour of group towards achievement of organisational goal.

(v) Controlling → This is the last function of management. Here standards are made and compare the actual performance with standards. Analysing deviations and taking corrective measures. So, that in future deviations are ignored & eliminated.

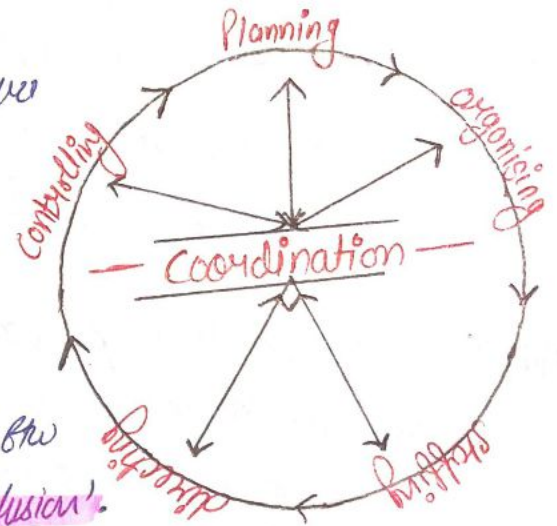
Co-ordination

* Co-ordination is the integration of the efforts of group members so as to provide unity & action to achieve organisational goal.

÷ Coordination is the essence of management due to these reasons ÷

(i) Coordination is needed to perform all the functions of management:

- To achieve the organisational goal there must be coordination in the function of management i.e., planning, organising, staffing, directing and controlling. All the functions of management is integrated to each other misconception b/w any function leads to 'chaos' and 'confusion'.



(ii) Coordination is required at every level.

- Top level management required to integrate all the activities of organisation. Middle level management is a link b/w Top and lower level of management so, it requires coordination to transfer plan and policies to lower level management even lower level management has to coordination with employees.

(iii) Co-ordination is the most important function of an organisation.

- Without coordination an organisation can't run successfully for a long period of time. All other functions will not work properly in the absence of coordination.

Nature / features of Co-ordination

- (i) Coordination integrates group efforts → There are various individuals working at different levels of organisation, coming from different level of background having different sense of understanding with their individual goal. Coordination helps to integrate the group efforts to achievement of organisational goal.
- (ii) Coordination is a continuous process → Every individual in the organisation must follow the coordination process continuously then only an organisation can successfully run.
- (iii) Coordination is a pervasive function → Similar to management coordination is a universal phenomenon. It is required at every level and every function of management. Coordination is required in profit as well as non-profit organisations.
- (iv) Coordination is deliberate function → Every manager tries to coordinate the activities of organisation avoid 'chaos' and 'confusion'. So, manager deliberately perform coordination function.
- (v) Coordination is the responsibility of all managers :-
 - Coordination is the responsibility of every individual in the organisation. It is not restricted up to top level is a deliberately performed by each and every employee so that there is no confusion in achievement of organisational goal.

Importance of Coordination

(i) Growth in Size $\rightarrow$ Role of coordination increases when size of the organisation is large.
- In large organisation it is very difficult to take all the employees with harmony towards a single direction so, coordination requires to bring unity of action.

(ii) Functional Differentiation $\rightarrow$ An organisation has many departments or sections performing different functions. All these functions are important for achieving the overall goals of the organisation. therefore, coordination is essential for integrating the functions.

(iii) Specialisation $\rightarrow$ In an organisation there are various experts at various departments and they feel that they are only the qualified people and they always take right decision. If all experts work in their own way it will result chaos and confusion. So, coordination is required so, that all experts or specialised people move towards a common goal without ego and confusion.